TrustRAG Banking QA Corpus 02

Lending, Credit Underwriting and Collections Policy

This document is intentionally synthetic and designed for production-readiness testing of retrieval-augmented generation (RAG). All names, rates, limits, procedures, customers, identifiers and examples are fictional. It is text-native and contains no OCR/scanned-page tests.

Document Control

Field	Value
Document ID	NSB-LCR-2026-08
Title	Lending, Credit Underwriting and Collections Policy
Version	2.4
Effective date	01 August 2026
Owner	Consumer Lending
Scope	Synthetic retail lending in India
Important	Product codes and explicit qualifiers control when names are similar.

1. Loan Product Matrix

Code	Product	Amount range	Tenor	Indicative rate p.a.	Processing fee
HL-500	Home Loan	INR 500,000-50,000,000	12-360 months	8.40%-10.25%	0.50%, min INR 5,000, max INR 25,000
PL-520	Personal Loan	INR 50,000-2,500,000	6-60 months	11.50%-18.00%	2.00% of sanctioned amount
AL-540	Auto Loan	INR 200,000-5,000,000	12-84 months	9.10%-13.25%	1.00%, max INR 20,000
GA-545	Green Auto Loan	INR 300,000-6,000,000	12-84 months	8.85%-12.75%	0.75%, max INR 15,000
EL-560	Education Loan	INR 100,000-7,500,000	12-120 months	9.50%-12.50%	0.75%, min INR 2,500
OD-580	Secured Overdraft	INR 100,000-3,000,000	12-month review	10.75%-14.00%	1.25% of limit

The published ranges are not offers. The final rate can depend on credit score, collateral, tenor and risk grade. The document contains no rule allowing a model to guess the customer-specific rate from the range.

2. Eligibility and Underwriting

Rule	Home	Personal	Auto / Green Auto	Education
Minimum age at application	21	23	21	18 (co-borrower required if income is nil)
Maximum age at maturity	70	60	70	65 for primary borrower
Minimum bureau score	700	725	690	Not mandatory for student; co-borrower >=680
Minimum net monthly income	INR 30,000	INR 35,000	INR 25,000	No fixed minimum for student
Maximum FOIR	55%	50%	55%	60% including proposed EMI
Employment vintage	12 months	12 months	6 months	Not applicable to student

2.1 FOIR formula

FOIR = (existing monthly debt obligations + proposed monthly loan payment) / verified net monthly income x 100. Existing rent is not included unless it is contractually unavoidable after loan disbursement. Credit-card obligation is taken as 5% of total outstanding, not 5% of credit limit.

Worked FOIR example: verified net monthly income INR 100,000; existing car EMI INR 18,000; credit-card outstanding INR 60,000; proposed EMI INR 25,000. Card obligation = INR 3,000. FOIR = (18,000 + 3,000

+ 25,000) / 100,000 = 46.00%.

3. Secured Lending - LTV Rules

Product / collateral	Base maximum LTV	Exception	Absolute cap
HL-500 self-occupied home, loan <= INR 3,000,000	90%	None	90%
HL-500 self-occupied home, > INR 3,000,000 to INR 7,500,000	80%	Up to +5 pp for Risk Grade A and bureau >=780	85%
HL-500 self-occupied home, > INR 7,500,000	75%	No score-based exception	75%
AL-540 new car	85% of on-road price	Up to 90% for Risk Grade A	90%
GA-545 new EV	90% of on-road price	No additional exception	90%
OD-580 term deposit collateral	85% of deposit principal	Not applicable	85%

LTV = sanctioned loan amount / accepted collateral value x 100. For homes, accepted collateral value is the lower of registered agreement value and independent valuation. Stamp duty and registration are excluded from accepted collateral value.

4. Pricing Adjustments

Condition	Adjustment to base rate	Applies to	Qualifier
Bureau score 800+	-0.20 percentage points	HL-500, AL-540, GA-545	Not PL-520
Salary account PS-110 active for 6+ months	-0.10 percentage points	HL-500, PL-520	Account must still be classified Salary on sanction date
Risk Grade C	+1.25 percentage points	All except EL-560	Cannot exceed product max range
Green certified residential property	-0.15 percentage points	HL-500	Certificate must be valid on sanction date
Manual policy exception	0.00 percentage points by default	All	Exception approval does not itself change pricing

A negative adjustment is a reduction in rate, not a negative interest rate. If cumulative adjustments would move the rate outside the published product range, cap it at the nearest boundary.

5. Prepayment and Foreclosure

Product	<=12 months from disbursement	>12 to 24 months	>24 months	Notes
PL-520 Personal Loan	3.00% of principal prepaid	1.00%	0%	Plus taxes.
AL-540 Auto Loan	2.00%	1.00%	0%	Applies to full or partial prepayment.
GA-545 Green Auto Loan	1.00%	0%	0%	No charge after 12 months.
HL-500 floating-rate individual home loan	0%	0%	0%	No prepayment charge in this synthetic policy.
HL-500 fixed-rate home loan	2.00%	2.00%	1.00%	Waived if prepaid entirely from borrower own funds after 24 months.

6. EMI Calculation Standard

For testing, monthly EMI is calculated as EMI = P*r*(1+r)^n / ((1+r)^n - 1), where P is principal, r is annual nominal rate divided by 12, and n is the number of monthly instalments. Round EMI to the nearest whole INR for customer display, but use unrounded values for internal ratio calculations.

Reference example: principal INR 1,000,000, annual rate 12.00%, tenor 12 months. r=0.01 and n=12. EMI = INR 88,849. If a system produces INR 88,000 or uses simple interest, mark it incorrect.

7. Delinquency Buckets and Collections

Days past due (DPD)	Bucket	Operational action	Customer-facing status
0	Current	No collection action	Current
1-30	Early delinquency	Reminder and contact	Past due
31-60	Bucket 2	Collections call and repayment plan assessment	Past due
61-90	Bucket 3	Senior collections review	Seriously past due
>90	Default review	Default assessment; legal review if applicable	Default review

A value of 0 DPD means Current; it must not be treated as missing. "Default review" is not identical to a completed legal default declaration.

8. Exceptions and Approval Ownership

An exception does not erase the underlying failed rule. The approval record must state: failed rule, exception rationale, approving authority, expiry date and compensating control. Risk Grade D is never eligible for FOIR or LTV exceptions. A product manager may recommend but may not approve a credit-policy exception.

Exception type	Approver	Maximum deviation	Expiry
FOIR	Regional Credit Head	+5 percentage points	30 days
Home LTV	National Credit Head	As permitted in Section 3 only	30 days
Bureau score	Chief Credit Officer	-20 score points from product threshold	15 days
Pricing floor	Not permitted	0	N/A

9. Multi-Section Decision Examples

Case L-01. Applicant for PL-520: age 35, net income INR 120,000, car EMI INR 20,000, card outstanding INR 100,000, proposed EMI INR 30,000, bureau 742. Card obligation is INR 5,000, so FOIR is 45.83%. Age, score and FOIR pass. The case may still fail other underwriting checks not specified here; do not infer approval.

Case L-02. Home loan INR 6,800,000 on a property with agreement value INR 8,400,000 and independent valuation INR 8,000,000. Accepted collateral value is INR 8,000,000; base LTV is 85.00%. The amount band permits base max 80%, but a Risk Grade A borrower with bureau 785 may receive the +5 pp exception, reaching the 85% absolute cap. Without that exception, the request exceeds policy.

Case L-03. A GA-545 borrower prepays INR 500,000 at month 15. Charge is 0% because the Green Auto Loan has no charge after 12 months. The standard Auto Loan rule must not be misapplied.

10. Comparison and Tie Cases

The lowest headline processing-fee percentage is 0.50% for HL-500. GA-545 and EL-560 tie at 0.75%. A query asking which products have exactly 0.75% must return both. A query asking for the cheapest processing fee cannot be answered from percentage alone because minimum and maximum amounts differ by product; the requested sanctioned amount matters.

11. Negative Knowledge Boundaries

- This policy does not provide live benchmark rates, customer-specific pricing, credit bureau reports or a final approval decision.
- It does not define credit-card rewards, deposit interest rates, KYC refresh schedules, sanctions rules or card-dispute timelines.
- It does not state that a credit score of 900 guarantees approval.
- It does not permit the model to assume a missing income, collateral value, tenure or risk grade.
- It contains no agriculture loan, gold loan, business term loan or cryptocurrency-backed loan product.

12. Policy Revision Note

Version 2.3 used a PL-520 maximum FOIR of 52%. Version 2.4 changed it to 50% effective 01 August 2026. Historical applications with complete sanction date before 01 August 2026 are assessed under the policy version recorded on that application; new applications use Version 2.4.